

Barclays Bank Kenya

2015 Half year results announcement
13 August 2015



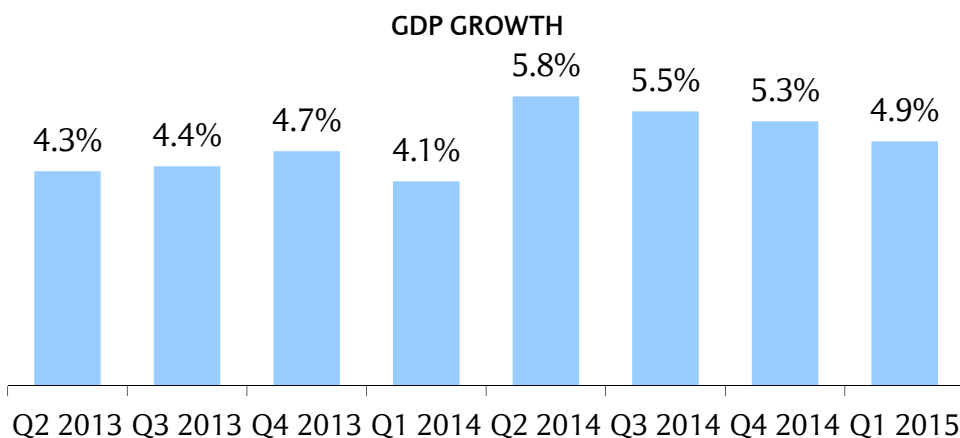
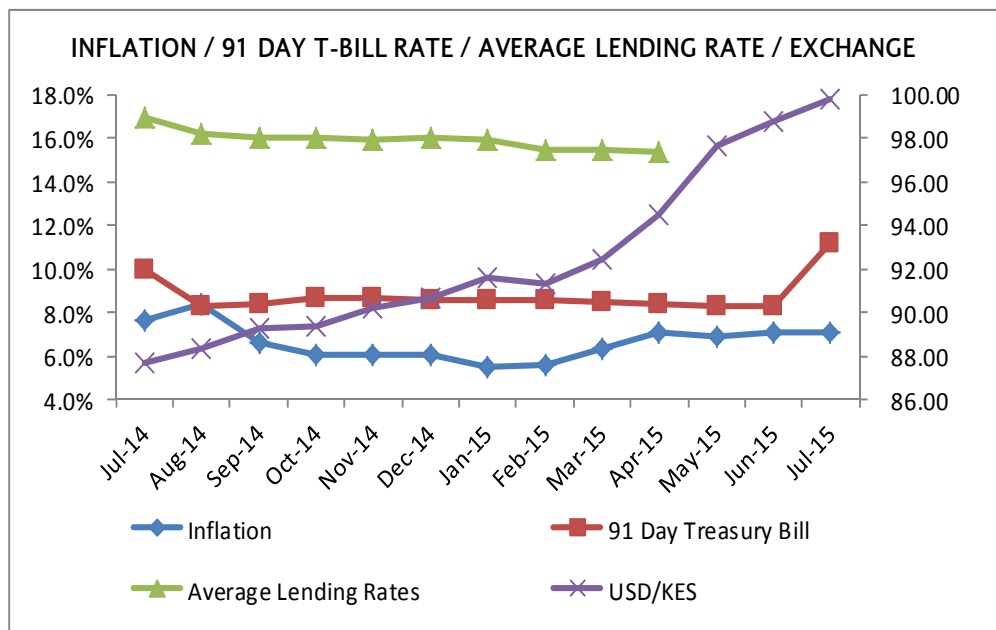


Francis Okomo Okello

Barclays Kenya Chairman



Diverse trends in the macro economic environment



- Volatile exchange rate
- Inflation edging up
- Relatively high interest rates
- Strong potential foreign direct investments
- Growth numbers expected to remain stable

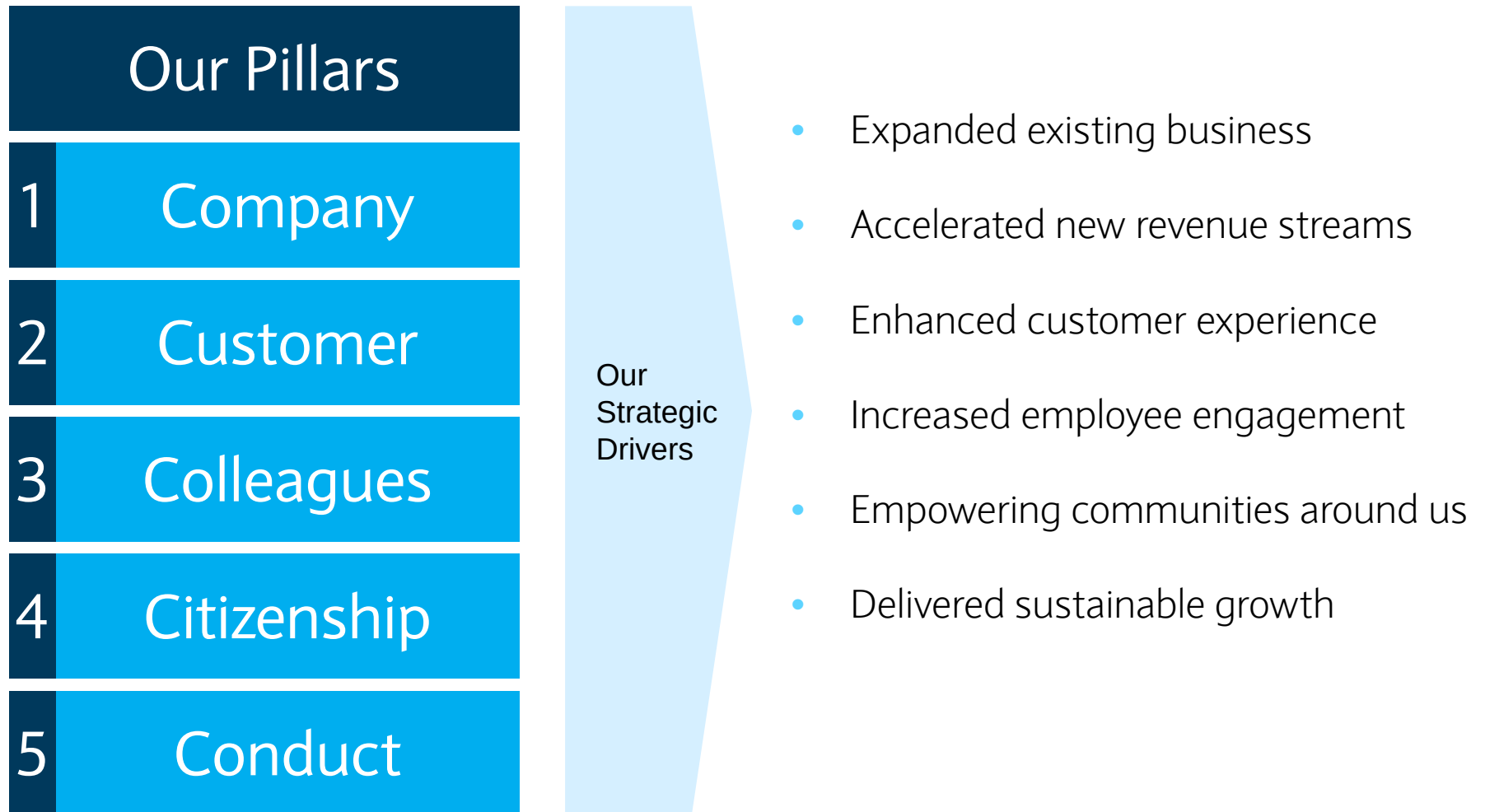


Jeremy Awori

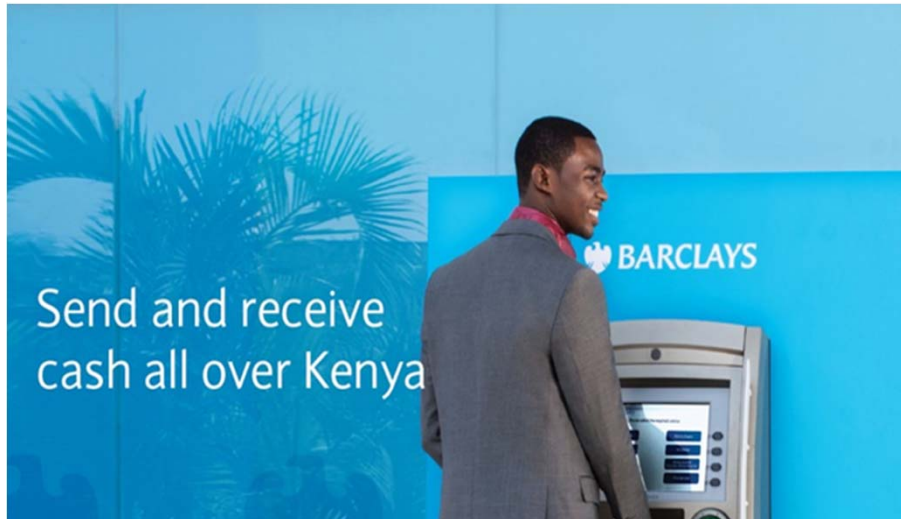
Barclays Kenya Managing Director



In 2015, we have been focusing on driving growth



We have opened up new revenue streams...



- Bancassurance
- USD Debit Card
- Asset-based Finance Centre
- Mortgage Centre
- Cash send on Mobile



...while expanding our existing business

Barclays Bank relaxes credit rules for SMEs seeking below Sh15m

BY CHARLES MWANIKI

Barclays Bank has moved to establish a foothold in the SME financing business by easing asset funding requirements for customers seeking below Sh15 million.

The bank announced that it will no longer require its SME customers to provide audited financial statements for asset-based credit requests of up to Sh15 million, but will instead rely on non-financial behavioural scorecards to assess their loan requests.

"Asset finance in Kenya has seen significant growth in the last five years and this market is currently valued at Sh100 billion. We believe that we are going to significantly drive asset growth in such areas as transport and manufacturing industries," said Barclays Kenya managing director Jeremy Awori.



Barclays Bank CEO Jeremy Awori (left), Graca Machel and Barclays chairman Francis Okomo-Okello during the NSE leadership and diversity meeting yesterday.

The lender will be providing financing for purchase of motor vehicles, construction equipment, industrial plant and machinery, office and agricultural equipment. The SME sector contributes more than 60 per cent of

the country's GDP and more than 80 per cent of all new jobs, and has been a rich source of revenue for banks which lend to the sector.

Barclays has been seeking to grow its revenue after falling behind other

big banks in recent years, which came after years of being the market leader in profit.

It recently launched a mortgage unit and is looking to strengthen its investment banking unit to tap into the advisory business.

Barclays announced a promotional mortgage rate of 11.9 per cent last month underlining its aggressiveness to grow its loan book which has been stagnant in recent years.

The bank became the first top lender to cut its variable loan rate in reaction to the January revision of the Kenya Banks Reference Rate (KBRR) from 9.13 per cent to 8.54 per cent.

Barclays is expected to announce its financial results for the 2014 financial year tomorrow. In 2013, it posted a net profit of Sh8.7 billion.

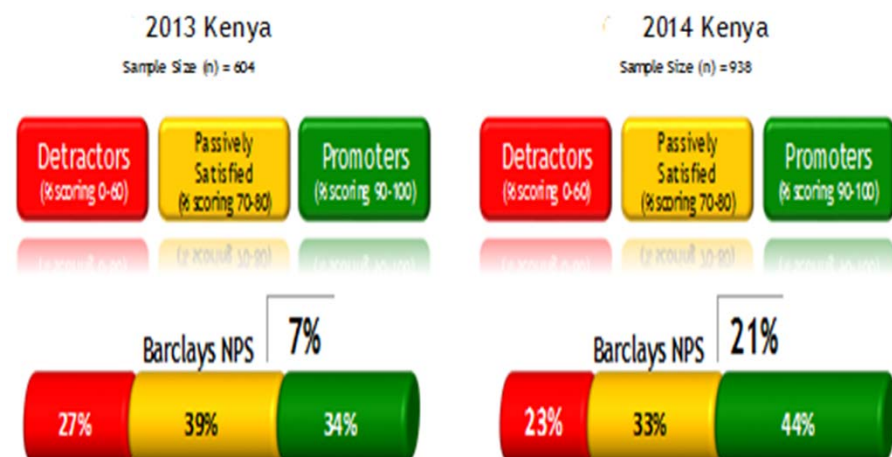
The top earnings so far announced by a bank for the 2014 financial year are by KCB which had a net profit of Sh16.8 billion.

According to Central Bank of Kenya sector statistics for 2014, banking sector profits grew by Sh18 billion last year to Sh141 billion.

- Renewed SME focus
- Increased Fixed income trading
- Focused Public sector engagement
- Revamped La Riba proposition
- Steady growth in Retail & Cards



Customers remain at the core of our business...



- Improved Retail Banking Net Promoter Score to **36%** in 2015
*sample size (n) = 1385
- Installed Queue management system in Top 20 Branches & Prestige centres
- Rolled Out New Functionalities on Digital Channels
- Installed 90 new ATM's - 53 New generation and 37 Intelligent ATMs

...as we continue to develop and grow our people



*A United Nations global
campaign to engage 1 billion
men to support gender equality*

- Driving performance culture
- Diversity and Inclusion
- Career Coaching Program
- Mobility programme
- HeforShe campaign



We are driving Innovation & Enterprise agenda...



- More than technology
- Product Innovation
- Launch of the Barclays Africa Supply Chain Challenge
- Investing to build innovation Ecosystem
- Platinum sponsor for Nairobi University Innovation



...as we empower the communities around us



Higher Revenues for Farmers

We work to strengthen market systems so that smallholders can sustainably increase their incomes.



Higher Revenues for Businesses

We help enterprising women and men build and expand businesses that provide economic opportunity.



New Jobs, Higher Wages

We target industries with the potential to create jobs on a large scale in poor communities.

- Techno serve partnership – Youth Agripreneurship Program
- Banking on Change
- Shinning hope for community
- Its'tyme - driving employability and entrepreneurship



Execution does lead to recognition

We have been recognized for our execution



- ❑ “The Best Retail Bank in Kenya” – Excellence in Retail Financial Services
- ❑ “Best Deposit Product in Africa” - Zidisha
- ❑ “Most Prestigious Bank in Kenya”



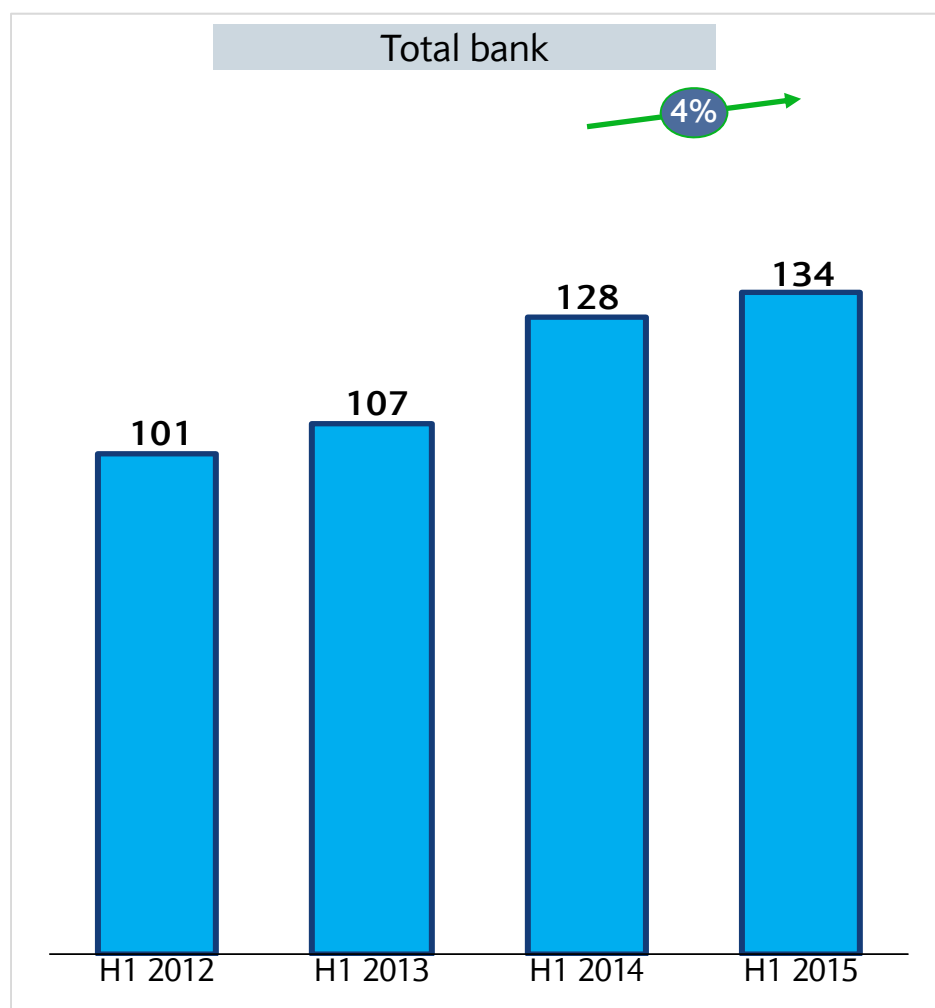
Yusuf Omari

Barclays Kenya Chief Financial Officer

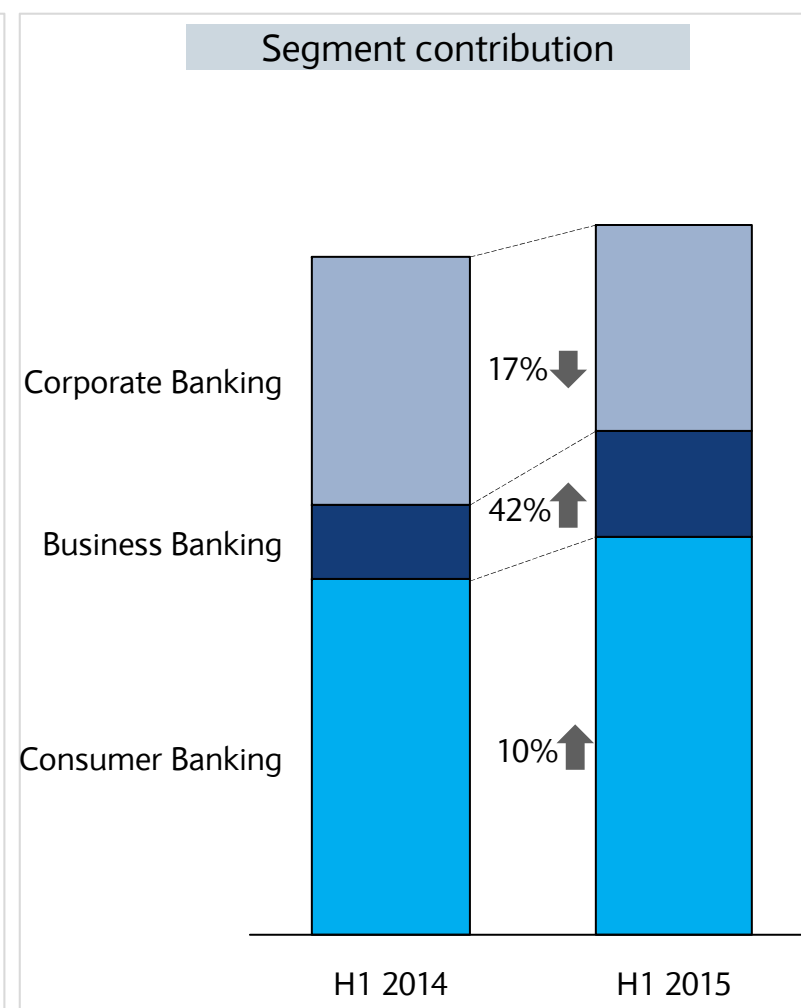


Business banking leading in asset growth

Net Customer assets (Kes bn)

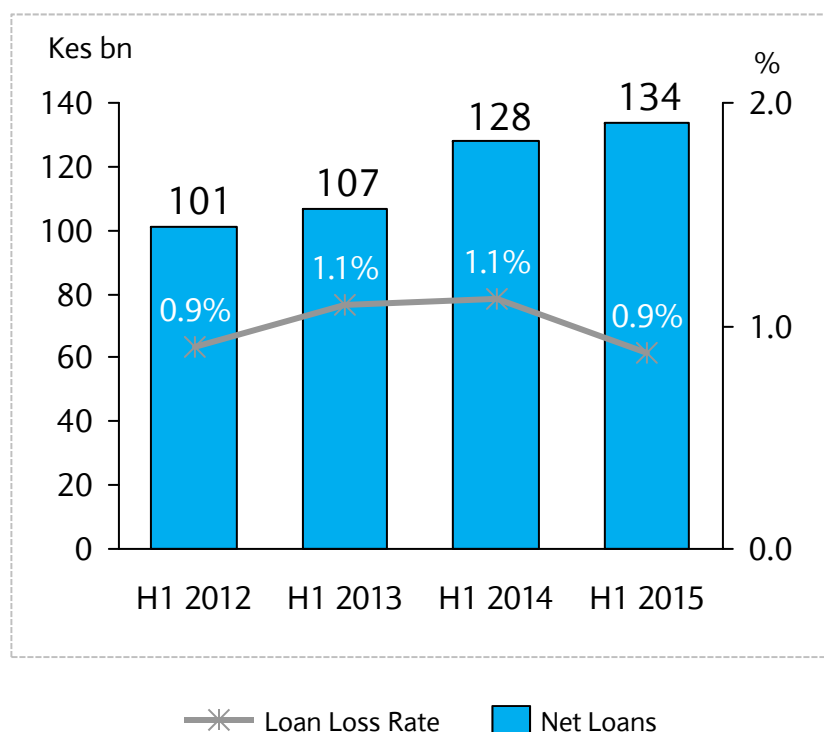


Loans by segment

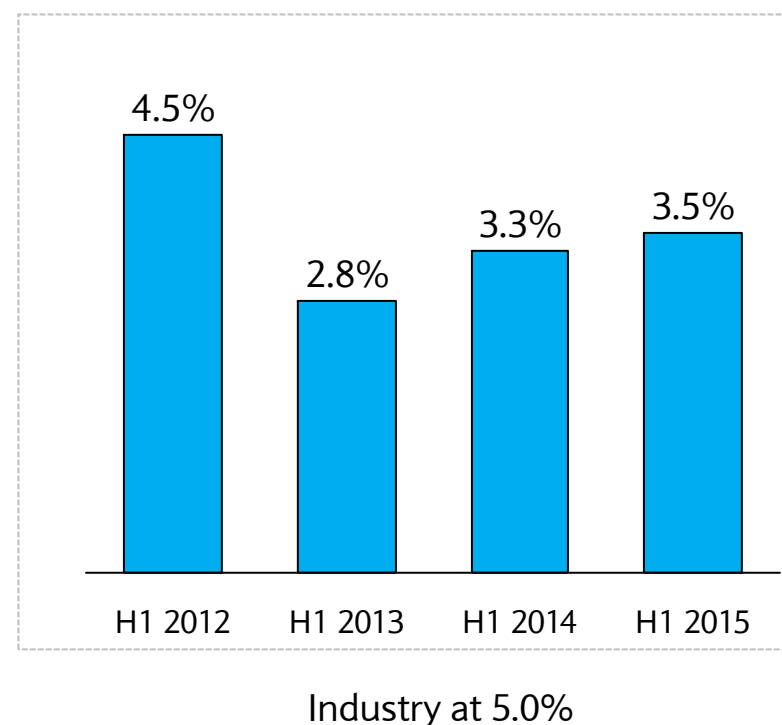


Focus on quality lending evident in credit loss ratio

Net Loan Book (Kes Bn)
Average Loss Rate (%)

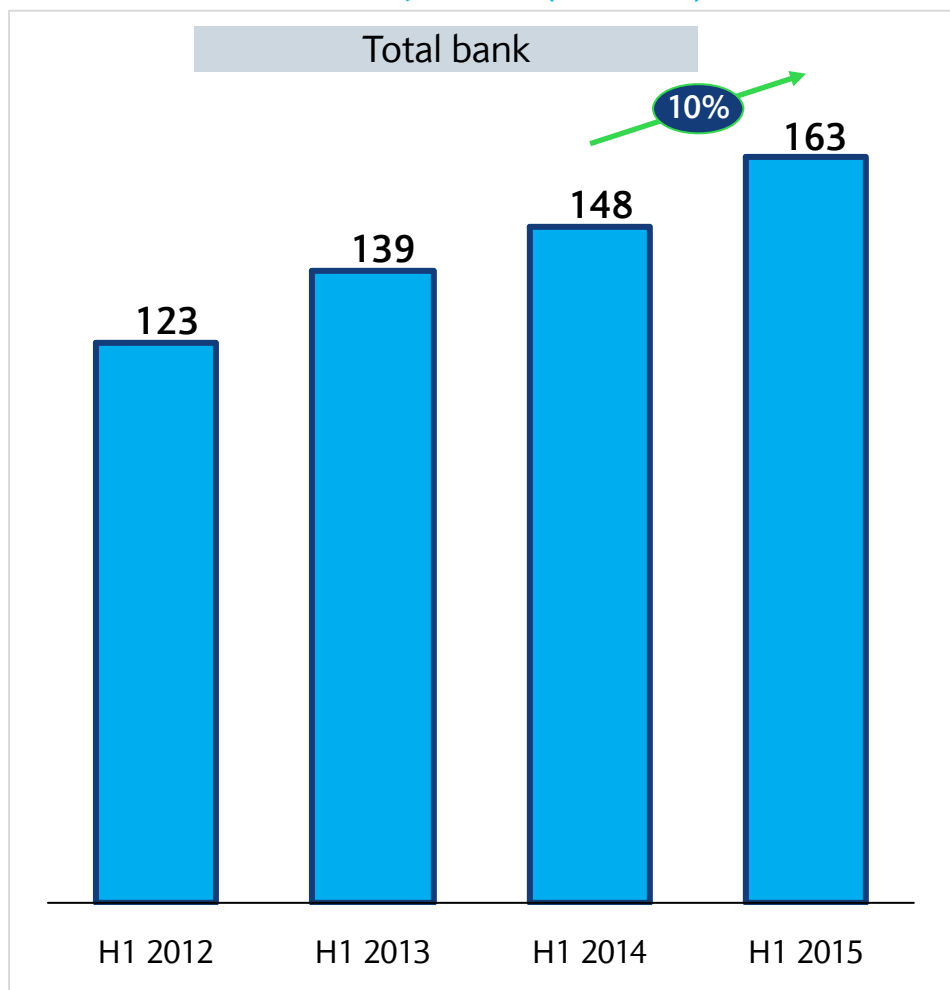


Non Performing Loans Ratio

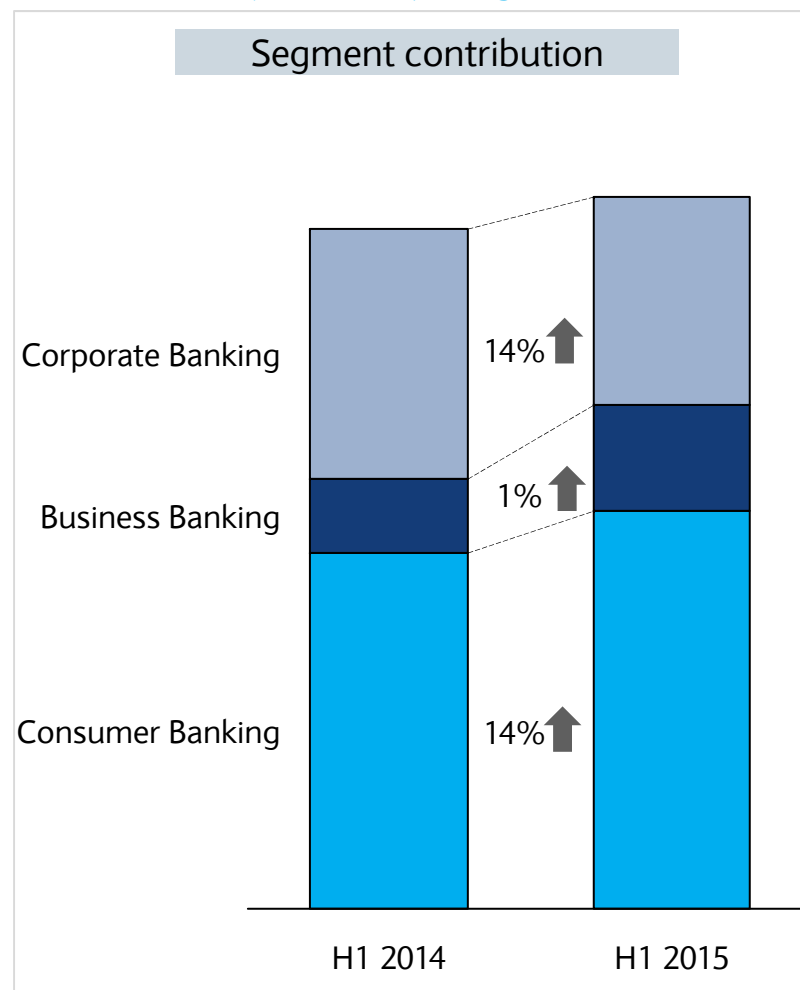


Improving deposit mobilisation across all segments

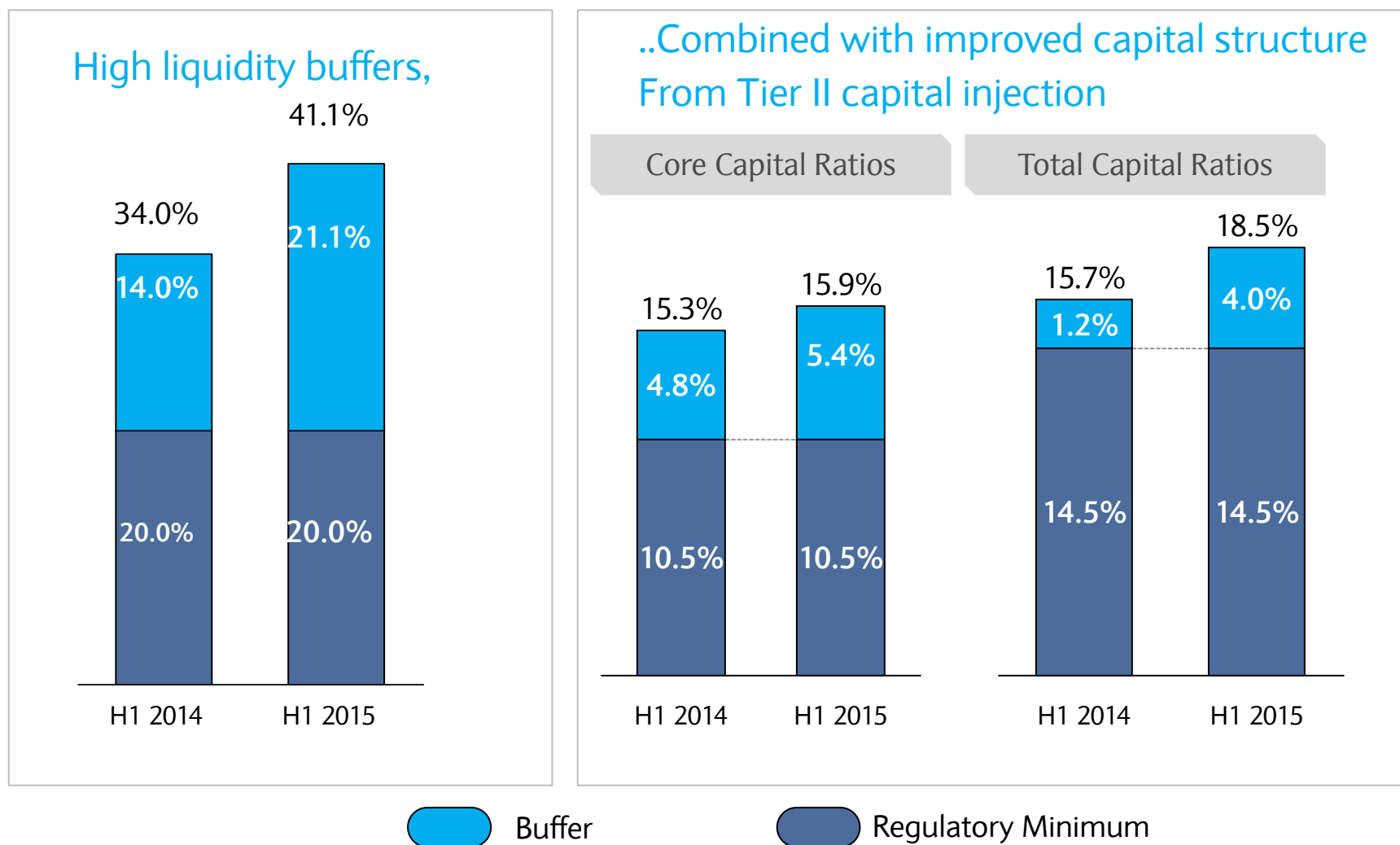
Customer deposits (Kes bn)



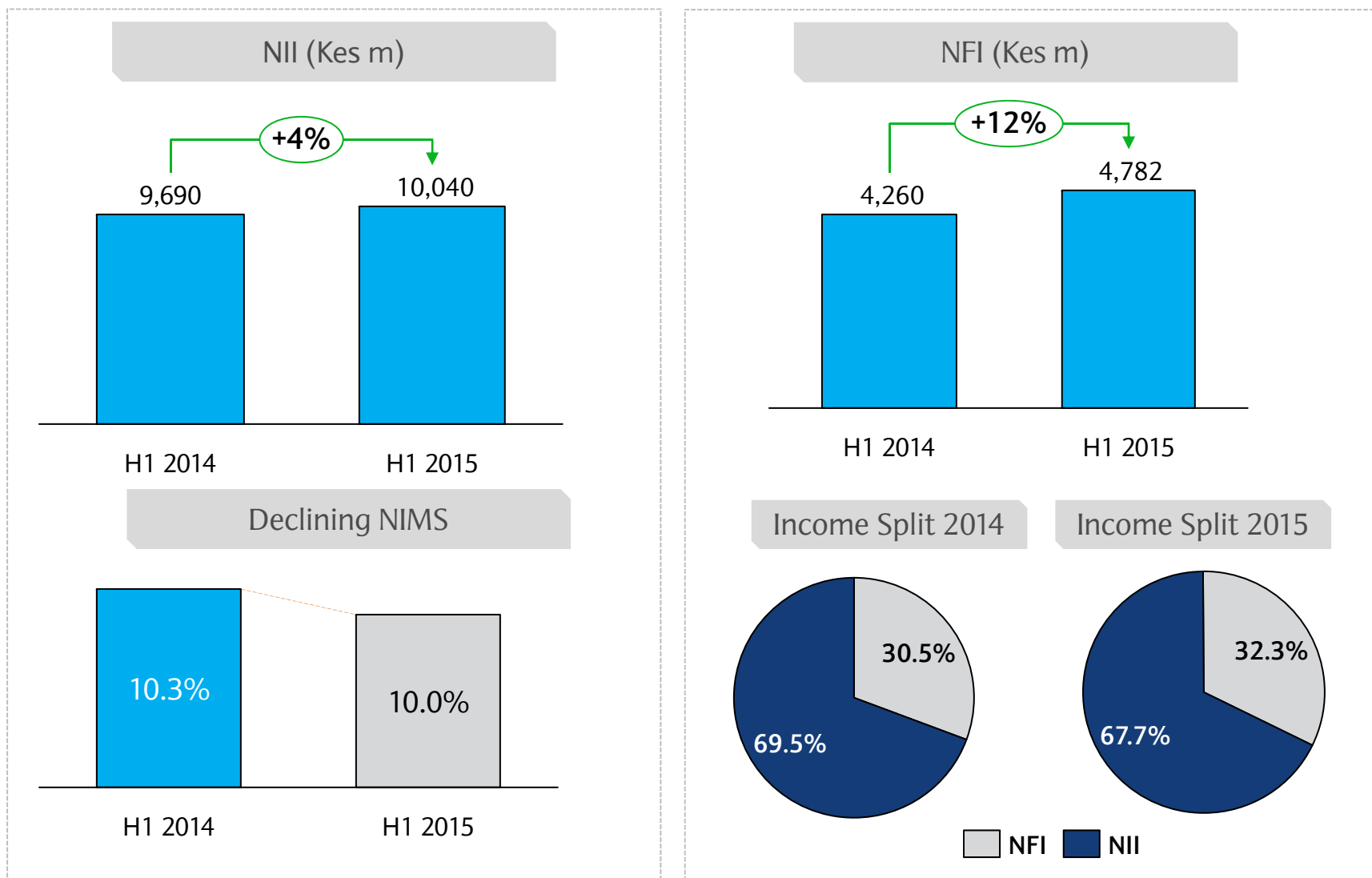
Deposits by segment



Healthy capital and liquidity to support future growth



Income momentum driven by non-interest income



Top line growth driving profitability

Kes million	H1 2014	H1 2015	% Change
Interest Received	11,097	12,166	10%
Interest Paid	(1,407)	(2,126)	51%
Net Interest Income	9,690	10,040	4%
Non Interest Income	4,260	4,782	12%
Total Income	13,950	14,822	6%
Costs	(7,119)	(7,801)	10%
Impairment	(720)	(586)	(19%)
Profit Before Tax	6,112	6,435	5%
Taxation	(1,879)	(1,883)	0%
Profit After Tax	4,233	4,552	8%

Interim dividends at Kes 0.20 per share

Dividends	H1 2014	H1 2015
Interim Dividend per share (Kes)	-	0.20
Total Dividends (Kes million)	-	1,086



2015 H2 Outlook



We will continue to execute our strategic agenda



riserise

- Drive balance sheet growth
- Continuous focus on SME
- Drive growth in new revenue streams
- Drive efficiency and productivity
- Continue to forge strategic partnerships
- Drive entrepreneurship and innovation agenda
- Focus on our core business Retail, Corporate and Business Banking



Q & A

 **BARCLAYS**